In Balance Sheet	Commission outstanding being a current liability is shown on the liabilities side of the balance sheet.

Example

On 31st March, 2017, Net profit before charging commission is ₹11,000.
The manager is entitled to receive 10% as commission on the profit before charging such a commission.
Commission = 11,000 x 10/100 = ₹1,100. The adjusting entry is:

Adjusting entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
2017	Manager's Commission A/c	Dr.		1,100	
March 31	To Outstanding Manager's commission A/c				1,100
	(Manager's commission on profit provided)				

Transfer entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
2016	Profit and Loss A/c	Dr.		1,100	
Mar. 31	To Manager's commission A/c				1,100
	(Manager's commission transferred to profit and loss A/c)				

In final accounts, it is presented as follows:

Dr. Profit and loss account for the year ended 31st March, 2017 Cr.

Particulars	₹	₹	Particulars	₹	₹
To Manager's commission		1,100			
To Net profit (transferred to capital a/c)		9,900			

Balance Sheet as on 31st March, 2017

Liabilities	₹	₹	Assets	₹	₹
Manager's commission outstanding		1,100			

Example

On 31st March, 2017, Net profit before charging commission is ₹11,000.
Adjustment: Provide Manager's commission at 10% on the profit after charging such Manager's commission.

Manager's commission = $11{,}000 \times \frac{10}{(100+10)}$ = ₹ 1,000. The adjusting entry is.

Adjusting entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
2017	Manager's commission A/c	Dr.		1,000	
March 31	To Outstanding Manager's commission A/c				1,000
	(Commission on profit provided)				

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